

PRODUCT MANAGEMENT ASSIGNMENT

Improving the Zomato Food Delivery Experience in Tier-1 Cities

Discovery → Order → Delivery

Funnel Analysis · Cohort Analysis · North Star & Ladder Metrics

PREPARED BY

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The numbers in this document are examples created for this assignment to show the method. They are not real Zomato data.

Contents

Overview	3
Part 1 — Funnel Analysis	4
1.1 The seven stages	4
1.2 Where users drop off	4
1.3 Stage by stage: the problem and the idea	6
1.4 One extra stage worth adding	9
1.5 Part 1 summary	9
Part 2 — Cohort Analysis	11
2.1 The six groups	11
2.2 How long each group stays	11
2.3 Group by group: the problem and the idea	13
2.4 Part 2 summary	16
Part 3 — North Star and Ladder Metrics	17
3.1 The North Star Metric	17
3.2 How the North Star breaks down	18
3.3 Metrics that must not get worse	18
3.4 The metric ladder	19
Part 4 — What I would do first	25
4.1 A simple plan	25
Part 5 — How I would test these ideas	27
Part 6 — What could prove me wrong	27
Sources	27

Overview

This assignment looks at the Zomato food delivery experience in India's biggest cities — Delhi NCR, Mumbai, Bengaluru, Hyderabad, Chennai, Kolkata, Pune and Ahmedabad — and asks a simple question: **where do users give up, and what would bring them back?**

Why this matters now

Zomato's food delivery business has grown up. In its most recent quarter it handled ₹9,757 Cr of orders, growing about 19% in a year, and it is now profitable. But the number of people ordering food in big cities has stopped growing, and the biggest eight to ten cities are close to full.

That changes what a product manager should work on. **You cannot grow by finding new users, because there aren't many left in these cities. And you cannot grow by giving away discounts, because the business now has to protect its profit.** What is left is making the existing users convert better and stay longer. That is exactly what this assignment covers.

What each part does

Part 1 — Funnel Analysis. Follows the user through seven steps, from opening the app to receiving their food, and finds where they drop off. Out of 1,000 app opens, only 170 end in an order. The surprise is where the loss happens: **700 of the 837 users lost leave in the first three steps, before they ever see a price.** Most teams focus on payments and checkout, but those steps only lose 137 users. The real problem is that a hungry user opens the app and cannot decide what to eat.

Part 2 — Cohort Analysis. Splits users into six groups and asks why each one stops ordering. Two things stand out. Users who only order with a discount have almost all gone after a year — 11 out of 100 remain, against 58 out of 100 for full-price users. And new users leave fastest of all, dropping from 42% to 26% in just eight weeks, which is why **the first three orders matter more than anything else.**

Part 3 — North Star and Ladder Metrics. Picks one number for the whole team to improve — **monthly repeat delivered orders** — and gives all thirteen ideas from Parts 1 and 2 a proper set of metrics, so each one can be proved right or wrong rather than just argued about.

THE PLAN IN SHORT

Months 1–3: build the four cheapest, most certain fixes — a “most ordered here” section on every menu, an instant retry when a payment fails, a three-step welcome offer for new users, and a monthly “Gold saved you ₹X” message.

Months 4–6: fix the price problem — show the full price up front, on both the restaurant card and in the cart.

Months 7–12: build the habit — better suggestions, live order tracking, smarter notifications and a cheaper Gold tier.

Together these should take orders from **170 to around 206 per 1,000 app opens — an improvement of about 21%.**

A note on the numbers. Zomato does not publish its funnel or retention figures, so the percentages here are examples I have built to show how the analysis works. They are marked as examples throughout. The few real, published figures are listed in the Sources section at the end.

Part 1 — Funnel Analysis

WHAT THIS PART DOES

Follows the user from opening the app to receiving their food, finds the points where users give up, and suggests one idea to fix each one.

1.1 The seven stages

The food delivery journey has seven steps. A user has to finish each one before they can reach the next.

Stage	What the user is doing
1. App open	Opens the Zomato app because they are hungry
2. Restaurant discovery	Scrolls or searches through the list of restaurants
3. Menu view	Opens one restaurant and looks at its menu
4. Cart creation	Adds at least one dish to the cart
5. Checkout	Goes to the payment screen
6. Order placed	Pays successfully and the order is confirmed
7. Order delivered	Food arrives, and the order is not cancelled or refunded

Table 1 — The seven stages of the food delivery funnel.

1.2 Where users drop off

To make the numbers easy to follow, I have taken a sample of **1,000 app opens** and traced how many users reach each stage.

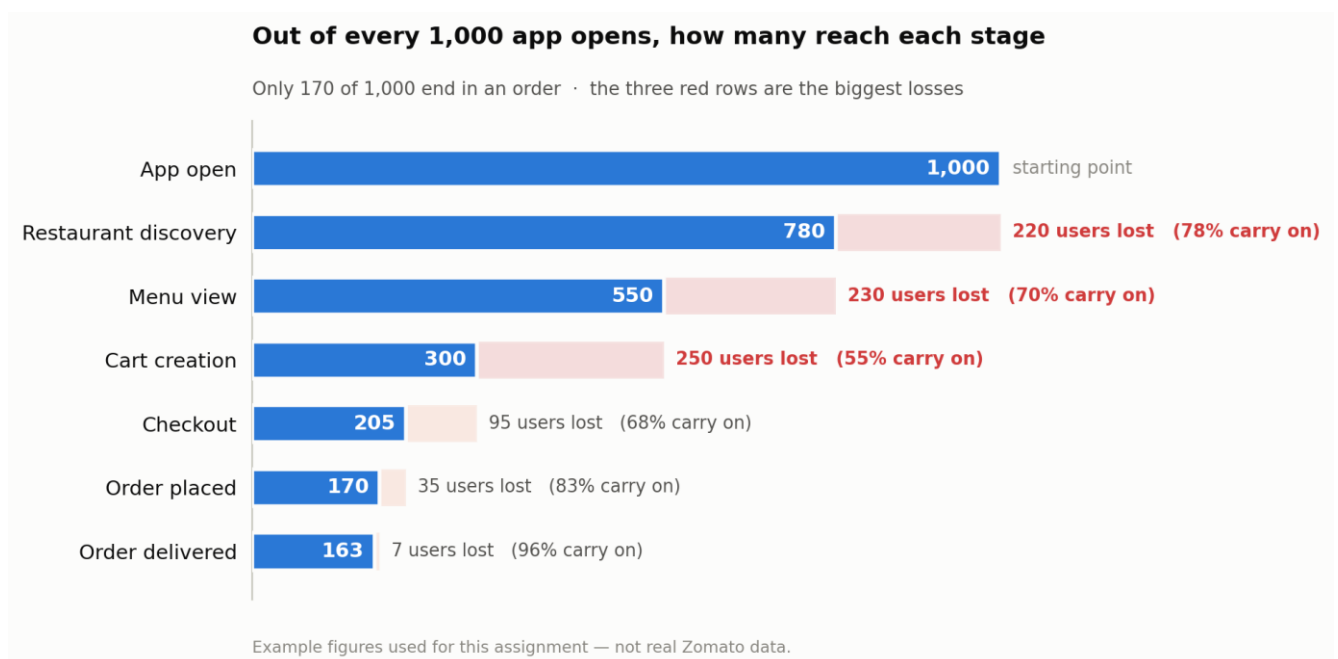


Figure 1 — The funnel, per 1,000 app opens. Example figures.

Stage	Users who reach it	% who move to the next stage	Users lost here
1. App open	1,000	78%	220
2. Restaurant discovery	780	70%	230
3. Menu view	550	55%	250
4. Cart creation	300	68%	95
5. Checkout	205	83%	35
6. Order placed	170	96%	7
7. Order delivered	163	—	—

Table 2 — Only 170 of 1,000 app opens end in an order. Example figures.

THE MAIN FINDING

Out of 1,000 app opens, **837 users are lost — and 700 of them leave in the first three steps**, before they ever see the final price.

Most teams spend their time improving payments and checkout. But those steps only lose 137 users. The real problem is simpler: **a hungry user opens the app and cannot decide what to eat.**

1.3 Stage by stage: the problem and the idea

For each stage I have listed the likely reasons users drop off, followed by one idea to improve it. Each idea is written as **If we do X, then Y will improve, because Z** — so it can be tested and proved right or wrong.

F1. App open → Restaurant discovery

220 of 1,000 users leave without properly browsing

Why users drop off here

- The home screen opens with **offer banners and category tiles**, not with food the user is likely to want. The user has to work out what they feel like eating with no help.
- **Too much choice.** In a Tier-1 city there are thousands of restaurants, which makes deciding harder, not easier.
- **The app is slow to load** on ordinary phones and busy mobile networks. Users leave while waiting.
- **Notifications open the wrong screen.** A message about a specific restaurant opens the general home page, so the user has to search for it again.

IDEA F1

If we add a row at the very top of the home screen called “Ready for you right now” — five suggestions based on what the user has ordered before, the time of day and the weather, with a one-tap reorder button —

then users moving from app open to browsing will rise from **78% to 83%**,

because users are not leaving due to lack of choice. They are leaving because they cannot decide, and the app gives them no help.

F2. Restaurant discovery → Menu view

230 of 780 users browse but never open a single restaurant

Why users drop off here

- **The restaurant card shows the wrong information.** It highlights discounts and ratings, but not the two things users actually care about: the final price and the delivery time.
- **Users do not trust the price shown.** They know a ₹300 order will become ₹400 once the platform fee, delivery fee, packaging charge and GST are added.
- **Delivery times are usually wrong.** Users have learned that “25 min” often means 40, so the number stops being useful.
- **Filters return nothing.** Selecting “Pure Veg + 4 stars + under 30 minutes” at 8:30 pm often shows an empty screen, which feels like the app has nothing to offer.

IDEA F2

If each restaurant card shows the **full price including all fees** (“You’ll pay ₹385”) and a delivery time range (“28–34 min”) instead of a discount badge —

then users opening a menu will rise from **70% to 75%**,

because users are not short of options. They simply do not want to spend three more taps on a price they know will change.

F3. Menu view → Cart creation

250 of 550 users open a menu and add nothing — the biggest drop in the whole funnel

Why users drop off here

- **Menus are far too long.** A single restaurant may list 150 dishes in a plain list with no order and no photos for most items. The user has to read the whole thing.
- **No help choosing.** The user knows the restaurant is rated 4.3 stars, but not which two dishes people actually like.
- **Items are out of stock,** and the user only finds out after tapping.
- **Choosing options is fiddly.** Spice level, portion size and add-ons open several pop-ups, and going back loses everything the user selected.
- **Group orders break the flow.** In the evening a user is often ordering for the family. They leave the app to ask “what does everyone want?” and never return.

IDEA F3

If we add a **“Most ordered here”** section pinned to the top of every menu — the five most popular dishes with real photos, ratings and a one-tap add button — and grey out items that are unavailable before the user taps them —

then users adding something to their cart will rise from **55% to 60%**,

because the problem is not price. Users have already shown interest by opening the menu; they are simply lost inside a very long list.

F4. Cart creation → Checkout

95 of 300 users build a cart and then abandon it

Why users drop off here

- **Fees appear too late.** The platform fee alone recently rose to about ₹14.90 per order. Add delivery fee, packaging, GST and any rain charge, and a ₹320 cart becomes ₹430 — shown only after the user has already chosen their food. It feels like a trick, even though every charge is genuine.
- **Minimum order rules force a bad choice.** “Add ₹63 more to save ₹35 on delivery” means paying a fee that feels unfair, or buying food the user did not want.
- **Hunting for coupons.** An empty “Apply coupon” box tells the user to leave the app and search for a code. Many never come back.
- **Surge and rain fees** appear exactly when the user least wants to cook.

IDEA F4

If the cart shows **one clear total that includes everything** — matching the price shown earlier on the restaurant card — and the best available coupon is applied automatically, with a breakdown available for anyone who wants it —

then users reaching checkout will rise from **68% to 74%**,

because users are not put off by the amount itself. They are put off by being surprised by it at the last moment. The proof would be that more users complete even though the amount charged is exactly the same.

F5. Checkout → Order placed

35 of 205 users reach payment but never complete

Why users drop off here

- **Payments fail.** UPI apps do not respond, banks go down, card OTPs time out. In India roughly 5–8 payments in every 100 fail at this step. These users wanted to buy — the app simply failed to take their money.
- **Address confusion.** GPS is unreliable inside tall buildings and large gated societies, so the app asks the user to confirm their location just when they are ready to pay.
- **Payment details have to be re-entered** — no saved default, CVV asked again, wallet balance not applied automatically.
- **A long “Placing your order...” spinner** makes users worry they will be charged twice, so they cancel.

IDEA F5

If a failed payment immediately offers **another payment method on the same screen** (UPI → another UPI app → saved card → cash), and the cart is saved for 30 minutes with a single reminder notification —

then users completing their order will rise from **83% to 88%**,

because a large share of this loss is a technical failure, not a change of mind. This is the easiest money in the entire funnel.

F6. Order placed → Order delivered

7 of 170 orders are cancelled, rejected or refunded

Why users drop off here

- **The restaurant rejects the order** because the kitchen is busy or an item has run out.
- **No delivery partner is assigned**, and the user stares at a “finding a delivery partner” screen having already paid.
- **The order runs late** and the user cancels food that is already on its way, simply because the app stopped telling them anything.
- **The food arrives wrong or cold.** This still counts as delivered, but it is one of the strongest reasons users never order again.

IDEA F6

If the app shows real order progress (**restaurant accepted → cooking → rider assigned → picked up → arriving**) with honest updated timings, and automatically gives a credit the moment an order is late — without the user having to complain —

then successful deliveries will rise from **96% to 97.5%**, and more importantly the share of these users who order again within 30 days will improve,

because most cancellations here happen out of worry, not because the user changed their mind. And users forgive a late order far more easily than they forgive having to fight for a refund.

1.4 One extra stage worth adding

The seven stages end when the food arrives. But Zomato does not make money from one order — it makes money when a user keeps ordering. So there is really an eighth step: **order delivered → next order**. Roughly 55% of users order again within 30 days, and that single number matters more than any of the seven stages above. It is also what links Part 1 to Part 2.

F7. Order delivered → Next order

Why users drop off here

- The screen after delivery **asks the user for a rating** instead of offering them something. This is the moment they are happiest, and the app uses it to collect data.
- **“Order again” is not really one tap** — it usually reopens the menu instead of rebuilding the exact order.
- **Food ordering is very repetitive** — same person, same day of the week, same dish — but the app does nothing with that pattern.

IDEA F7

If the screen after delivery leads with **“Order this again — schedule for next Thursday?”** (the exact order rebuilt, editable, cancellable, and only charged when it is sent), with rating moved lower down —

then the share of users ordering again within 30 days will rise from **55% to 61%**,

because users are most likely to want the same thing again in the few minutes after a good meal, and right now the app spends that moment asking for a review.

1.5 Part 1 summary

Stage	Main drop-off reason	Idea	Expected change
App open → discovery	Generic home screen, too much choice	F1 Personalised “Ready for you” row	78% → 83%
Discovery → menu view	Price and delivery time cannot be trusted	F2 Full price and time range on each card	70% → 75%
Menu view → cart	Menus are far too long to choose from	F3 “Most ordered here” at the top	55% → 60%
Cart → checkout	Fees appear only at the end	F4 One all-inclusive total, auto coupon	68% → 74%

Stage	Main drop-off reason	Idea	Expected change
Checkout → order placed	Payments fail	F5 Instant retry with another method	83% → 88%
Order placed → delivered	No updates, so users cancel	F6 Live status and automatic credit	96% → 97.5%
Delivered → next order	App asks for a rating, not a reorder	F7 One-tap reorder and scheduling	55% → 61%

Table 3 — All seven drop-off points and the idea for each.

WHAT THIS ADDS UP TO

If all six funnel ideas worked perfectly, orders per 1,000 app opens would rise from 170 to 243. In practice ideas overlap — F2 and F4 both fix the same trust problem, so the second one will add less once the first has worked.

A realistic estimate is around **206 orders per 1,000 app opens instead of 170 — an improvement of roughly 21%.**

Part 2 — Cohort Analysis

WHAT THIS PART DOES

Splits users into groups that behave differently, works out why each group stops ordering, and suggests one idea to keep each group for longer.

2.1 The six groups

A cohort is simply a group of users who have something in common. Groups are only useful if you would treat them differently — otherwise there is no point separating them. I have used three pairs.

Pair	Group	Who is in it	Share of all users	Share of all orders
New vs repeat	New user	0–1 orders, joined in the last 30 days	24%	6%
	Repeat user	2 or more orders	76%	94%
How often they order	High-frequency	8 or more orders a month	9%	38%
	Low-frequency	1–2 orders a month	44%	21%
How they pay	Discount-driven	Uses a coupon on most orders	31%	19%
	Full-price / Gold	Rarely uses coupons, or has Gold	28%	43%

Table 4 — The six cohorts. Example figures.

The last two columns are the important part. High-frequency users are only 9 out of every 100 users but bring 38% of all orders. Discount users are 31 out of every 100 but bring only 19%. New users are 24% of the base and just 6% of orders.

2.2 How long each group stays

How many users are still ordering, months after they joined

Darker blue = more users stayed

	Month 1	Month 3	Month 6	Month 12
Orders often (8+ a month)	91%	85%	79%	71%
Pays full price / Gold member	82%	73%	66%	58%
Repeat user (2+ orders)	74%	61%	52%	44%
Orders only with a discount	55%	33%	20%	11%
Orders rarely (1–2 a month)	48%	31%	21%	14%
New user (first 30 days)	42%	26%	18%	12%

Example figures used for this assignment — not real Zomato data.

Figure 2 — Retention by cohort. Example figures.

Two things stand out.

1. **Discount users leave very quickly.** After a year only 11 out of 100 are still ordering, compared with 58 out of 100 full-price users. That is more than a **5× difference** between two groups buying the same food from the same app.
2. **New users leave fastest of all, and earliest.** They fall from 42% in month 1 to 26% by month 3 — nearly 4 in 10 lost in eight weeks. Since each month builds on the one before, saving a user early is worth far more than saving one later. **The first three orders matter most.**

2.3 Group by group: the problem and the idea

C1. New users (first 30 days)

Month 1: 42% → Month 3: 26% → Month 6: 18% → Month 12: 12%

Why this group stops ordering

- **The second order feels expensive.** New users join on a big first-order offer, often 60% off. Their second order costs almost three times what the first one did. They are not comparing Zomato to cooking — they are comparing it to last week's price.
- **No habit has formed yet.** People usually need around three orders in three weeks before ordering becomes routine. A single first-order offer does not get them there.
- **They get the worst version of the app.** With no order history, nothing can be personalised, so new users see the most generic home screen — exactly the problem described in F1.
- **One bad order is enough.** A regular user forgives a late delivery. A new user has no reason to.

IDEA C1

If we replace the one big welcome discount with a **three-order welcome offer that reduces each time** — ₹125 off the first order, ₹100 off the second within 10 days, ₹75 off the third within 21 days — and send every new user's first order to a reliable restaurant with an automatic refund if anything goes wrong —

then month-1 retention will rise from **42% to 52%**,

because new users leave due to a sudden price jump and an unformed habit, not because they dislike the app — and spreading ₹300 over three orders costs no more than spending ₹150 once and then losing the customer.

C2. Repeat users (2 or more orders)

Month 1: 74% → Month 3: 61% → Month 6: 52% → Month 12: 44%

Why this group stops ordering

- **They get bored.** Most regular users have six to eight restaurants they trust, and the app keeps showing them the same ones because those are the safest recommendations.
- **Fees add up.** A ₹14.90 platform fee is easy to ignore once, but it is very visible when you are paying it eight times a month.
- **They also use Swiggy.** Zomato Gold and Swiggy One are similar enough that users switch based on whichever is cheaper that week.
- **Life changes.** People move city, start cooking, or change jobs. This is real and cannot be fixed — but it should be measured separately so it is not confused with problems that can be fixed.

IDEA C2

If we keep **2 of the top 8 home screen slots for a restaurant the user has never tried** but which matches their taste, with a promise that the next order is free if they do not like it —

then month-6 retention will rise from **52% to 58%** and the number of different restaurants each user orders from will rise from about 4 to 5 per quarter,

because regular users leave out of boredom rather than price, and the thing stopping them trying somewhere new is the risk of wasting a meal.

C3. High-frequency users (8+ orders a month)

Month 1: 91% → Month 3: 85% → Month 6: 79% → Month 12: 71%

Why this group stops ordering

- **They experience more problems simply because they order more.** At 8 orders a month with a 96% success rate, something goes wrong for them roughly every three weeks.
- **Complaining takes effort.** Raising three refund tickets in a quarter is worse than the three problems that caused them.
- **They notice every change to Gold.** If a minimum order value or a benefit changes, this is the group that spots it immediately.

IDEA C3

If users ordering 8+ times a month get **an automatic credit within 60 seconds** whenever an order is more than 10 minutes late or an item is missing — no complaint, no ticket, no explanation needed — plus a priority support line —

then month-6 retention for this group will rise from **79% to 84%**,

because these users leave over problems that were never properly fixed. A user ordering 8 times a month is worth around ₹38,000 of orders a year, so a few hundred rupees of credits is a very small price to protect that.

C4. Low-frequency users (1–2 orders a month)

Month 1: 48% → Month 3: 31% → Month 6: 21% → Month 12: 14%

Why this group stops ordering

- **They order for occasions, not out of habit** — Friday night, guests visiting, feeling unwell, a missed lunch. The app has no idea when those moments are.
- **They pay the most fees per order.** Ordering twice a month does not seem worth a Gold subscription, so they pay full fees every single time.
- **Too many notifications.** Five general messages a week to someone who wants one useful one leads them to turn notifications off completely — and once that happens, there is no way to reach them again.
- **They fade away quietly.** There is no complaint and no cancellation. They just stop.

IDEA C4

If we learn each low-frequency user's own pattern (which day, what time, whether rain or payday matters) and send **exactly one well-timed notification a week instead of five random ones** —

then month-3 retention will rise from **31% to 38%** and the number of users switching notifications off will fall by around 40%,

because this group already wants to order sometimes. The app just needs to be there at the right moment instead of being noisy at all the wrong ones.

C5. Discount-driven users

Month 1: 55% → Month 3: 33% → Month 6: 20% → Month 12: 11%

Why this group stops ordering

- **They are loyal to the coupon, not to Zomato.** When a better offer appears elsewhere, they move.
- **They have never used the app at full price,** so they have no way of judging whether it is worth ₹430 without a discount.
- **They cost more than they bring in,** so the company keeps changing how it treats them — heavy offers one month, none the next — and that inconsistency pushes them away too.

IDEA C5

If we move this group from **occasional coupons to steady, predictable value** — a low-priced Gold tier with free delivery above a ₹99 minimum, plus an “under ₹250, everything included” menu —

then the share still ordering at month 6 will rise from **20% to 30%**, and these users will start making money for the business rather than losing it,

because many of them are not really deal-hunters — they simply have a budget, and a low predictable price meets that need far better and far more cheaply than a coupon does.

AN HONEST POINT ABOUT THIS GROUP

Not all of these users are worth keeping, and the target should say so. They are really two different groups.

Users with a genuine budget limit — real appetite, limited money. These are worth winning with the steady offer above.

Users who only ever chase deals — they use both apps, always with a coupon, and disappear the moment the offer stops. For these, the right answer is to limit how many coupons they get and let them go.

If we set one retention target for the whole group, the easiest way to hit it is to spend more on discounts — which makes the business worse while the dashboard looks better.

C6. Full-price and Gold users

Month 1: 82% → Month 3: 73% → Month 6: 66% → Month 12: 58%

Why this group stops ordering

- **Renewals fail by accident.** A card expires or a UPI mandate is cancelled during a bank app clean-up. The user never decided to leave — the payment did.
- **They cannot see what Gold is giving them.** They pay for it every year and are never shown how much it actually saved them.
- **Small changes are noticed.** Every tightening of Gold terms is felt most sharply by the people paying for it.

IDEA C6

If we send a monthly **“Gold saved you ₹X this month”** message with a running yearly total compared against what they paid, and make renewal painless — retry the payment on other methods, keep benefits active for a 7-day grace period, one tap to fix —

then Gold renewals will rise from **68% to 76%**,

because many of these users never chose to leave at all, and those who did often never realised Gold was saving them more than it cost. The savings figure is already calculated on every order — it is simply never shown to them.

2.4 Part 2 summary

Group	Main reason they leave	Idea	Expected change
New users	Second order feels far more expensive	C1 Three-step welcome offer	M1: 42% → 52%
Repeat users	Bored of the same restaurants	C2 Two “try something new” slots	M6: 52% → 58%
High-frequency	Problems that never get properly fixed	C3 Automatic credit when late	M6: 79% → 84%
Low-frequency	App never reaches them at the right moment	C4 One well-timed notification a week	M3: 31% → 38%
Discount-driven	Loyal to the coupon, not the app	C5 Cheap Gold plus an under-₹250 menu	M6: 20% → 30%
Full-price / Gold	Renewals fail; value is never shown	C6 “Gold saved you ₹X” and easy renewal	Renewal: 68% → 76%

Table 5 — All six cohorts, their retention problem and the idea for each.

Part 3 — North Star and Ladder Metrics

WHAT THIS PART DOES

Chooses one main number for the whole team to improve, then gives every idea from Parts 1 and 2 a set of metrics to prove whether it worked.

3.1 The North Star Metric

A **North Star Metric** is the single number that best shows whether the product is really working. If it goes up, the business is genuinely healthier — not just busier.

MONTHLY REPEAT DELIVERED ORDERS

The number of orders in a month that were delivered successfully, placed by users who also ordered in the previous month.

Every part of that sentence is doing a job:

The words	Why they are there
Orders, not users	The number of people ordering food in big cities has stopped growing. Chasing new users would push the team at the one thing they cannot change. Getting existing users to order more is achievable.
Delivered successfully	Orders that are cancelled, refunded or arrive cold do not count. This stops the team hitting the number while the experience quietly gets worse.
Also ordered last month	One-off orders bought with a heavy discount do not count. This means the number cannot be inflated by giving away coupons — the easiest and worst way to make a metric look good.

Table 6 — Why the North Star is worded this way.

Why not the more obvious choices

Option	Why it is not the right choice
Number of monthly users	This has already stopped growing in big cities. Setting a target the market has capped teaches the team that their work does not matter.
Total order value (revenue)	Can be pushed up simply by raising fees, which is exactly what caused the fee fatigue described in Part 1.
Total orders	Counts cancelled and refunded orders as successes.
Retention percentage	It is a percentage, not a count. It goes up if you lose your weakest users — so it can improve while the business shrinks.

3.2 How the North Star breaks down

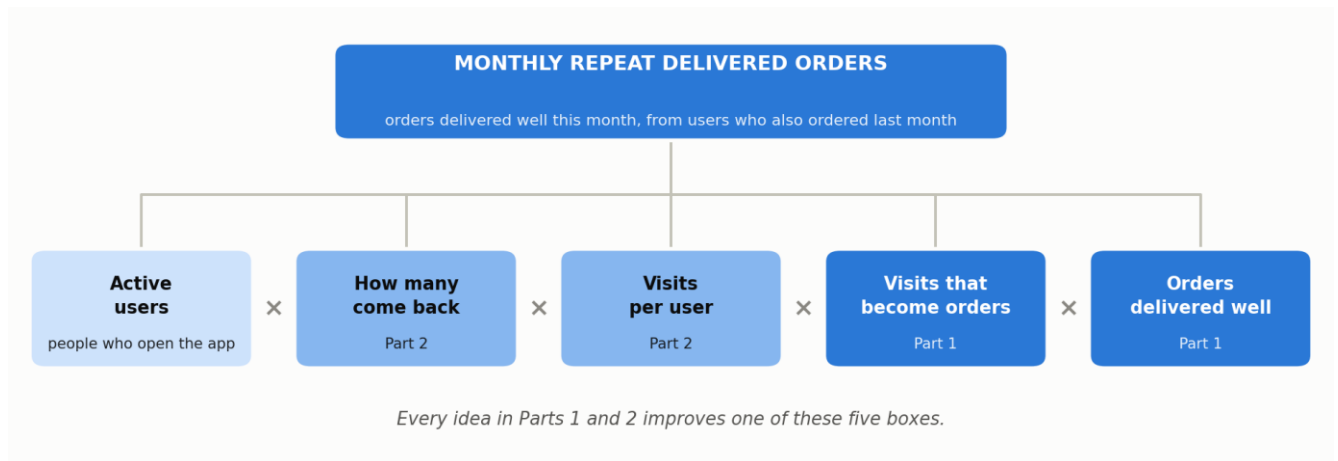


Figure 3 — The five things that drive the North Star.

Repeat delivered orders = active users × how many come back × visits per user × visits that become orders × orders delivered well

This is why Parts 1 and 2 belong together. **Part 1 improves the last two boxes. Part 2 improves the middle two.** The first box — active users — is the one this plan deliberately leaves alone, because in big cities it is the hardest to move.

It also gives a simple planning rule: **if an idea cannot say which of the five boxes it improves, it does not get built.**

3.3 Metrics that must not get worse

Any target can be hit in a bad way. These four numbers are checked alongside the North Star, and if any of them gets worse, the change does not launch — however good the main result looks.

Check	What it stops us doing
Profit per order	Buying more orders by giving away discounts
Number of restaurant partners, and how happy they are	Getting more orders by squeezing restaurants
Rider earnings per hour	Getting more orders by squeezing delivery partners
Complaints per 1,000 orders	Growing while the experience quietly gets worse

3.4 The metric ladder

A **metric ladder** is a set of metrics for one idea, arranged from the things we control to the things we ultimately care about. Each idea below uses the same four rungs.

Rung	What it means	How soon we see it
Input metrics	What we build and control — did the change actually reach users, and does it work properly?	Straight away
Output metrics	The direct result the idea predicts — the number we said would move	1–2 weeks
Leading indicators	Early signs that the idea is working for the reason we thought	3–10 days
Lagging indicators	Slower confirmation that the effect is real and lasts, and that it reached the North Star	6–12 weeks

Table 7 — The four rungs used for every idea below.

Ladders for the Part 1 ideas (funnel)

F1 — Personalised “Ready for you” row

Improves: Visits that become orders

Input	Share of app opens where the row appears at the top; how many of the five suggestions are personalised; how fast the home screen loads on ordinary phones.
Output	App open → browsing: 78% → 83%. Taps on the row; share of orders that started from it.
Leading	How far users scroll before opening a restaurant (should fall); app opens where the user sees no restaurant at all (should fall).
Lagging	Visits per user per month; repeat delivered orders; 30-day repeat rate compared with a control group.
Must not get worse	Variety of restaurants shown — the row must not push everyone towards the same few big chains, which would hurt smaller restaurants.

F2 — Full price and delivery time range on each card

Improves: Visits that become orders

Input	Share of cards showing the full price; how close that price is to the final amount charged (target: within ₹5 on 95% of orders); how often delivery lands inside the stated range (target: 80%).
Output	Browsing → opening a menu: 70% → 75%. Taps per card; cart abandonment later in the funnel (should also fall).
Leading	Restaurants viewed per visit; time between seeing a card and tapping it; use of the price filter (should fall, since users no longer need it).
Lagging	Orders per visit overall; complaints about unexpected charges; trust score in the user survey.
Must not get worse	Total orders and revenue per visit. The honest risk is that showing a higher, truthful price makes us look expensive next to a competitor still showing a price before fees.

F3 — “Most ordered here” section on every menu

Improves: Visits that become orders

Input	Share of menus where the section can be filled (needs at least 30 orders in 30 days — smaller restaurants are the real limit); share of those dishes with a real photo; how up to date the stock information is.
Output	Menu view → cart: 55% → 60%. Items added per menu opened; share of carts containing one of the five dishes; taps on sold-out items (should fall sharply).
Leading	Time from opening a menu to adding the first item — the clearest sign of whether choosing got easier; how far users scroll before adding.
Lagging	Repeat delivered orders; 30-day repeat rate; ratings given to dishes ordered from the section versus dishes chosen from the full menu.
Must not get worse	Share of orders going to less popular dishes — the section must not narrow every restaurant down to five items.

F4 — One all-inclusive total with the coupon applied automatically

Improves: Visits that become orders

Input	Share of carts showing the single total; how often the system finds the user’s best available coupon; how many users open the breakdown.
Output	Cart → checkout: 68% → 74%. Cart abandonment rate; time spent on the cart screen (should fall); users leaving the app to search for coupon codes (should fall).
Leading	Taps on the coupon field; taps on “why am I paying this?”; items removed after the total appears.
Lagging	Repeat delivered orders; complaints about hidden fees; 30-day repeat rate.
Must not get worse	Profit per order. Applying the best coupon automatically will cost more in discounts unless it is capped, so this must be watched closely.

F5 — Instant payment retry and saved cart

Improves: Visits that become orders

Input	Share of failed payments offered another method on the same screen; how many methods each user has; share of carts still there after 30 minutes.
Output	Checkout → order placed: 83% → 88%. Payment success rate on the first try and after a retry; orders recovered per 1,000 failures.
Leading	How many users try again; seconds between the failure and a successful retry; users leaving within a minute of a failure.
Lagging	Repeat delivered orders; 30-day repeat rate for users who hit a failure — a recovered user should behave like one who never had a problem.
Must not get worse	Duplicate charges (must be zero); payment-related support tickets; fraud rate.

F6 — Live order status and automatic credit when late

Improves: Orders delivered well

Input	Share of orders showing the full status; how accurate the updated delivery times are; how quickly the credit is issued after an order goes late (target: under 60 seconds).
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Output	Order placed → delivered: 96% → 97.5%. Cancellations after payment; cost of credits per 1,000 orders.
Leading	How often users open the tracking screen (should <i>fall</i> — a clear story means less anxious checking); support contacts while an order is live.
Lagging	The main measure here: whether users who had a late order come back within 30 days. Also repeat delivered orders and complaints per 1,000 orders.
Must not get worse	Total cost of credits against budget; how happy restaurant partners are, since their timings are now visible.

F7 — One-tap reorder and scheduling after delivery

Improves: Visits per user

Input	Share of delivered orders showing the reorder screen first; how often the exact order can be rebuilt (items still available, prices unchanged).
Output	30-day repeat rate: 55% → 61%. Scheduled orders as a share of all orders; days between one order and the next (should fall).
Leading	Taps on reorder within 10 minutes of delivery; how many users set a schedule; how many then cancel it (a high cancel rate would mean we won a tap, not a real order).
Lagging	Repeat delivered orders; orders per user per month; share of users active two months in a row.
Must not get worse	How many users leave a rating. Ratings drive restaurant discovery, so losing them to win a reorder would be a bad trade.

Ladders for the Part 2 ideas (cohorts)

C1 — Three-step welcome offer and a reliable first order

Improves: How many come back

Input	Share of new users given the three-step offer; how many use step 1, step 2 and step 3; share of first orders sent to a reliable restaurant; on-time rate for first orders.
Output	Month-1 retention: 42% → 52%. Share of new users reaching three orders within 21 days; days between the first and second order.
Leading	How many use the second voucher within 10 days — the earliest useful signal, available in under two weeks.
Lagging	Month-3 and month-6 retention; total value of a new user over 12 months compared with a control group.
Must not get worse	Total discount spend per new user must be the same or lower than before. That is the whole basis of the idea.

C2 — Two “try something new” slots with a free-next-order promise

Improves: How many come back

Input	Share of home screens with 2 of 8 slots reserved; how well the suggestions match the user's taste; how often the free-order promise is claimed.
Output	Month-6 retention: 52% → 58%. Different restaurants ordered from per user per quarter (about 4 → 5); first-time orders at a new restaurant per user.
Leading	Taps on the new-restaurant slots; how many of those taps become orders; ratings given to those orders — the clearest sign the matching works.
Lagging	Month-6 and month-12 retention; repeat delivered orders; orders going to smaller restaurants.
Must not get worse	Claims on the free-order promise (should stay under 3%). Note that overall taps on the home screen will fall slightly by design — that is expected, not a failure.

C3 — Automatic credit for high-frequency users

Improves: How many come back

Input	Share of eligible users enrolled; share of late orders credited automatically; how quickly the credit arrives; response time on the priority support line.
Output	Month-6 retention: 79% → 84%. Support tickets per 100 orders in this group (should fall sharply); cost of credits per user per month.
Leading	Whether users order again in the week after a credited problem, compared with users whose problem was not credited — the clearest test of the whole idea, readable in about ten days.
Lagging	Month-6 and month-12 retention; orders from this group; how many slip from high- to medium-frequency.
Must not get worse	Signs of misuse — if system-detected problems stay flat while user-reported ones rise sharply, the scheme is being taken advantage of.

C4 — One well-timed notification a week

Improves: Visits per user

Input	Share of low-frequency users we can predict confidently for; how accurate the prediction is when tested offline — this is the gate before anything ships ; notifications sent per user per week (target: exactly 1, down from about 5).
Output	Month-3 retention: 31% → 38% . Notification open rate; orders within 6 hours of a message; notifications switched off (should fall by about 40%) .
Leading	Open rate in week 1 compared with the old general messages; time between opening the message and ordering.
Lagging	Month-3 and month-6 retention; repeat delivered orders; how many move from low- to medium-frequency.
Must not get worse	Users turning notifications off is the most important check — once permission is lost it is almost impossible to get back. Also: total orders from notifications must not fall even though we send five times fewer.

C5 — Cheap Gold tier and an under-₹250 menu

Improves: How many come back

Input	How many discount users take up the cheap Gold tier; how many restaurants and cities the under-₹250 menu covers; whether the price shown on it is genuinely final.
Output	Still ordering at month 6: 20% → 30% . Profit per order for this group (should move from negative to positive); share of their orders still using a coupon (should fall).
Leading	Sign-ups to the cheap Gold tier; share of orders from the under-₹250 menu; first order placed without any coupon.
Lagging	Month-6 and month-12 retention; value of these users compared with what it cost to acquire them; renewal rate on the cheap Gold tier.
Must not get worse	Existing full-price Gold members moving down to the cheaper tier — the most likely way this loses money. Also: average order value will fall by design, so a floor should be agreed first.

C6 — “Gold saved you ₹X” message and easy renewal

Improves: How many come back

Input	Share of Gold members receiving the monthly message; how many open it; how many payment methods the renewal can retry on; how often the grace period is used.
Output	Gold renewal rate: 68% → 76% . Split between renewals that failed by accident and users who genuinely chose to leave — this tells us which half of the idea is working.
Leading	Message open rate; visits to the renewal page after reading it; successful payment retries per 100 failures.
Lagging	Month-12 retention for Gold members; orders from Gold users; total value of a Gold member.
Must not get worse	Cancellations triggered by the message itself — telling someone Gold saved them less than they paid is honest, and some will leave. That is acceptable, but it needs to be measured.

Part 4 — What I would do first

Thirteen ideas is too many to build at once. I have scored each one on how much difference it would make, how confident I am that it will work, and how easy it is to build — each out of 10 — and multiplied the three together.

#	Idea	Impact	Confidence	Ease	Score	Phase
1	F3 “Most ordered here” on every menu	9	8	7	504	1
2	C1 Three-step welcome offer	9	7	8	504	1
3	F5 Instant payment retry	6	9	8	432	1
4	C6 “Gold saved you ₹X” and easy renewal	5	8	9	360	1
5	F4 One all-inclusive cart total	8	7	6	336	2
6	C3 Automatic credit for frequent users	6	8	7	336	2
7	F7 One-tap reorder after delivery	6	6	8	288	2
8	F2 Full price and time range on cards	8	7	5	280	2
9	F6 Live order status and auto credit	5	8	6	240	3
10	C4 One well-timed notification a week	8	6	5	240	3
11	C5 Cheap Gold and under-₹250 menu	8	6	4	192	3
12	C2 Two “try something new” slots	7	5	5	175	3 †
13	F1 Personalised “Ready for you” row	7	6	4	168	3

Table 8 — All thirteen ideas, scored and ordered.

† **C2 scores lowest, but I would still start it in the first phase**, because measuring retention at month 6 takes twelve weeks. Starting it late just delays the answer. The score ranks how valuable an idea is, not when to begin it.

4.1 A simple plan

When	Focus	What we build	What we expect
Months 1–3	Stop the biggest leaks	F3, F5, C1, C6 (and start C2’s long test)	Orders per 1,000 opens: 170 → 190 New-user month 1: 42% → 50%
Months 4–6	Fix the price problem	F2, F4, C3, F7	Orders per 1,000 opens: 190 → 206 Repeat rate: 55% → 60%
Months 7–12	Build the habit	F1, F6, C4, C5	Repeat delivered orders up ~18% Discount group starts making money

The first phase is deliberately unexciting. All four changes are cheap, quick and very likely to work. A new plan needs an early win and a working way of measuring things before it spends its credibility on the harder bets later.

Part 5 — How I would test these ideas

Ideas are only worth as much as the way they are measured. Four rules I would follow:

1. **Split users, not visits.** Each user should stay in the same group for the whole test, otherwise the same person appears in both and any retention result becomes meaningless.
2. **Run funnel tests for at least 2 weeks, and retention tests for at least 8.** Judging a retention idea after two weeks is the most common way teams fool themselves.
3. **Decide what success looks like before the test starts.** Choosing the target after seeing the results is how teams talk themselves into launching things that did not work.
4. **Ignore the first week of any design change.** Anything new gets extra attention simply for being new, and that fades. Week one measures curiosity, not behaviour.

Part 6 — What could prove me wrong

Each idea rests on a belief about why users behave the way they do. Naming how each belief could be wrong is what turns a guess into a proper hypothesis.

What could go wrong	How we would know	What we would do
Showing the honest full price makes us look expensive	F2 improves every later step, but total orders fall	Judge F2 and F4 on total orders, not on the single step they were designed to fix
Users are not confused — they just think it is too expensive	F3 launches properly and the menu-to-cart step barely moves	The whole Part 1 diagnosis is wrong. Move effort to the pricing ideas (F4 and C5) instead. This is why F3 is built first — it is the cheapest way to test the biggest assumption
Retention only looks better because we lost the worst users	Overall retention rises simply because the discount group shrank	Always report retention group by group, and never present one blended figure as proof
The “three orders in three weeks” rule may not apply here	It comes from other industries, not Indian food delivery	Check it against Zomato’s own past data first. It is a two-week piece of analysis and it de-risks the second-biggest idea

Sources

Publicly reported figures used in this document:

- Indian Startup News — Eternal’s Q4 FY26 results (food delivery order value ₹9,757 Cr, up 18.8%; ₹99 Gold minimum order value and under-₹250 meal options).
- Inc42 — analysis of user growth slowing in Indian food delivery and saturation of the top 8–10 cities.
- Deccan Herald — Zomato raises its platform fee to ₹14.90 per order.

All other figures in this document are examples, created for this assignment to show the method. They are not real Zomato data.